

Haidilao (海底捞) — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

Background

Haidilao International Holding Ltd. is a Chinese hot pot restaurant chain founded in 1994 by Zhang Yong in Jianyang, Sichuan Province. Customers cook their own ingredients in a shared pot of broth at the table. As of 2024, Haidilao operates over 1,400 restaurants in China and internationally (U.S., U.K., Japan, South Korea, Singapore, Australia), with annual revenue exceeding \$5 billion. The company went public on the Hong Kong Stock Exchange in 2018.

Haidilao's hot pot is similar to what hundreds of other Chinese hot pot chains serve. What distinguishes Haidilao is its service model: while waiting for a table, customers receive free manicures, snacks, and shoe-shining services. During the meal, staff perform noodle-pulling demonstrations and sing birthday songs. Staff are trained to anticipate customer needs — offering phone cases, charging cables, and lap blankets for children — and are empowered to resolve problems on the spot without manager approval. Employees who receive positive customer feedback earn bonuses and promotion opportunities. Zhang Yong's stated philosophy is: "Take care of your employees first; they will take care of your customers."

Haidilao's employees go through an in-house training program focused on customer service skills, not culinary technique. The company does not recruit from culinary schools. Its training costs per employee are among the highest in the Chinese restaurant industry.

Key Events

Year	Event
1994	Zhang Yong opens the first Haidilao — a four-table hot pot shop in Jianyang, Sichuan
1999	Opens first branch outside Sichuan, in Xi'an, Shaanxi Province
2004	Begins expanding to major Chinese cities; word-of-mouth about service quality drives customer growth
2010s	Customer stories about Haidilao's service spread on social media; the brand gains national recognition
2018	IPO on the Hong Kong Stock Exchange; market capitalization exceeds HK\$100 billion
2020	COVID-19 forces restaurant closures; Haidilao pivots to delivery hot pot kits and takeout
2021	Haidilao closes approximately 300 underperforming restaurants after expanding too quickly during the post-COVID recovery
2022–2024	Refocuses on operational efficiency; continues international expansion

Questions

1. Respond to parts A, B, and C.

(A) Identify a specific factor described in the scenario that gives Haidilao an advantage over other hot pot restaurants.

(B) Explain how the factor you identified in part A contributes to Haidilao's ability to attract and retain customers.

(C) Explain why a competing hot pot restaurant would find it difficult to copy the factor you identified in part A.

2. Respond to parts A, B, and C.

(A) Using data from the scenario, identify a challenge Haidilao faced as a result of its rapid expansion.

(B) Describe how Haidilao responded to the challenge you identified in part A.

(C) Explain what Haidilao's experience suggests about the relationship between rapid growth and business viability.

3. Respond to parts A, B, and C.

Zhang Yong stated: "Take care of your employees first; they will take care of your customers."

(A) Identify a specific action Haidilao takes to "take care of" its employees, as described in the scenario.

(B) Explain how the action you identified in part A affects Haidilao's customers.

(C) Predict what would happen to Haidilao's competitive position if the company reduced its investment in employee training and bonuses. Support your prediction with evidence from the scenario.

4. Respond to parts A, B, and C.

Haidilao has expanded internationally to the U.S., U.K., Japan, South Korea, Singapore, and Australia.

(A) Identify a factor external to Haidilao that could make it more difficult for the company to succeed in a foreign market than in China.

(B) Explain how the factor you identified in part A could affect Haidilao's service model.

(C) Recommend one specific action Haidilao could take to address the challenge you identified. Support your recommendation with reasoning.

Keep this handout for reference during class discussion.